HOWDEN JOINERY LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 27 DECEMBER 2008

REGISTERED NUMBER : 526923

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HOWDEN JOINERY LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 52 weeks ended 27 December 2008 (2007: 52 weeks ended 29 December 2007)

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

Howden Joinery Limited ("Howden Joinery" or "the Company") is a wholly owned subsidiary of Galiform Plc, and operates as part of Galiform Plc's Trade division. Howden Joinery sells kitchens and joinery products to the building trade, predominantly small local builders, via a nationwide network of depots. On 30 December 2007 the trade and net liabilities of Howden Kitchens Limited, (also a wholly owned subsidiary of Galiform Plc), were transferred to Howden Joinery Limited, as detailed in note 19. The principal activities of Howden Kitchens Limited are the design and sourcing or manufacture of kitchen cabinetry, joinery products and appliances, primarily for Howden Joinery Limited.

As shown in the Company's profit and loss account on page 7, the Company's sales have increased by 3.5% over the period and profit after tax has fallen from £85m to £49m. The profit for the financial period as shown in the profit and loss account amounted to £49m. The directors do not recommend a final dividend be paid (2007 : £nil).

The balance sheet on page 8 of the financial statements shows that the Company's financial position at the end of the year is consistent with prior years in terms of both net assets and cash. Details of amounts owed to and from the parent and other group companies are shown in notes 10 and 11.

Current Year

The financial performance of the Company during 2008 reflects the strength of the Company's competitive position and the characteristics of the end-users of its products. The Company has significant exposure to the tenanted housing sector, both public and private, which are subject to different economic drivers than the owner-occupied sector, in which it also operates.

The majority of the Company's customers are entrepreneurs and local builders running small businesses. They need to remain profitable while juggling several jobs at once. Their scheduling has to accommodate unpredictable factors such as the surprises that lie hidden in the fabric of older buildings, the timely arrival of other contractors, changes to specifications made by end-users, poor weather at critical moments – and now, a steep decline in the availability of credit. At Howden Joinery, a small business can manage cash flow by using the Company's credit account facilities, schedule jobs according to need (product is always in stock), provide end-users with professional plans drawn up by the Company's designers, and maintain margin based on a competitive pricing structure. For many customers, this business is not simply a supplier – it provides essential business support.

The Howden Joinery depot is the location where the kitchen fitting conundrum is solved. Each depot is around 10,000 square feet in size and has on average ten members of staff. A depot is managed and its business developed by its own staff. They are strongly motivated by a locally based incentive plan that sees each one of them, manager and staff, receive a share of gross profit, less stock loss. Depots take an average of seven years to reach maturity – by which time they have established a solid local customer base.

In 2008, 20 new depots were opened, compared to 54 in 2007: prudently limiting the rate of expansion in view of the prevailing economic climate. The Company does not expect to resume the depot opening programme in 2009, but has every intention of doing so when economic indicators are more favourable. There is scope for at least 600 Howden Joinery depots in total, and the business has already identified preferred locations in several regions.

The Company aims to ensure that Howdens is and remains the lowest cost manufacturer and distributor of kitchens in the UK. Last year, the Company made good progress with rationalising the manufacturing, distribution and logistics, and with tailoring sourcing arrangements to suit the needs of the business.

Fluctuating exchange rates means the Company needs to take even more care to ensure that sourcing occurs from the most appropriate geographical location; bearing in mind the Company's exacting requirements for design, quality, availability and margin.

PRINCIPAL RISKS AND UNCERTAINTIES

The future success of the Howden Joinery business depends on maintaining the culture and business model as the Company grows. The Company needs to preserve the decentralised business model which allows depot managers to flex their requirements to suit the needs of their customers, and increases the entrepreneurship which is part of the Howden Joinery culture.

The Company has no third party debt. It therefore has no interest rate exposure. The Group risks are discussed in the Group's Annual Report which does not form part of this report.

GOING CONCERN

The current economic conditions create uncertainty particularly over (a) the level of demand for the company's products and (b) the exchange rate between sterling and both the Euro and the US Dollar which would impact the cost of the company's operations.

The Company's forecasts and projections have been stress- tested for reasonably possible adverse variations in trading performance. The results of this testing show that the Company should be able to operate for the foreseeable future.

The Company's trade receivables and inventory balances act as security on the Group's asset-backed bank facility. The security on these assets could be called upon if the Group were to breach its borrowing facility or covenants. In addition the pension trustees have a charge on the shares of the Company and have a separate covenant test on the EBITDA for Howden Joinery. This charge could be called upon if there were to be a breach of this covenant.

The Group's latest forecasts and projections have been stress-tested for reasonably possible adverse variations in trading performance and show the Group should be able to operate within the terms of its current borrowing facility and covenants for the foreseeable future. The EBITDA covenant for Howden Joinery has a low level of headroom based on those projections. It is calculated each four week period on a three and six period rolling basis, such that short term variability in trading performance would increase the risk of non-compliance. Nevertheless, whilst there can be no absolute certainty, after due consideration of the impact of a reasonably possible further decline on the recent trading performance experienced, it is not considered that this covenant will be breached in the foreseeable future. On this basis the directors of the Company believe that the security on the facility could not be called upon.

After making enquiries, the directors have a reasonable expectation that the company has adequate resources to continue in operational existence for the foreseeable future. Accordingly, they continue to adopt the going concern basis in preparing the accounts.

SOCIAL AND EMPLOYEE ISSUES

Howden Joinery directly employs over 5,750 people across the depot network and UK factory and distribution sites, and sells more kitchens than any other company in the UK. Each year, customers, principally small builders, are supplied with around 4 million kitchen cabinets, 2 million doors and 400,000 complete kitchens.

This market leading position means the Company has responsibilities that it must reconcile with the pursuit of its commercial interests.

Committed to responsible manufacturing in the UK
There are two manufacturing facilities in the UK, one in Runcorn and one in Howden. The Company is committed to keeping these facilities operational where commercially viable. Manufacturing at scale in the UK benefits both the domestic workforce and the communities in which they live and work.

All Howden Joinery UK manufactured kitchen ranges are certified by the UK Forest Stewardship Council (UK FSC). Over 85% of all UK manufactured product is FSC compliant.

Committed to managing the impact on the environment

Wood

Manufactured product

As a supplier of kitchen and joinery products, wood obviously plays a central role in what the Company does. It is therefore policy to always try and source wood in a way that is good for the environment as well as good for the business. The preferred option is to buy wood which is certified by either the UK FSC or by the European Programme for the Endorsement of Forest Certification (PEFC). These respected, independent schemes enable the Company to source wood and paper products from suppliers that use sustainable methods to manage their forests.

The Company also aims to source all cardboard packaging from either recycled or certified sources.

Bought-in product

As well as manufacturing much of the product in the UK, the Company continues to source joinery products and kitchen fascias from a range of suppliers in the UK, Europe and elsewhere in the world. Ethical and environmental sourcing is an important factor in the Company's global supply chain, and all suppliers are expected to comply with high standards in this area. Suppliers of wood based kitchen and joinery products should either already have or be working toward FSC/PEFC certification wherever possible.

Regular audits and continuous improvement programmes have become an integral part of supplier selection and development and the Company continues to audit a sample of suppliers on an annual basis to verify their compliance with requirements.

Energy

The two key areas where efforts have been specifically concentrated to measure and reduce energy consumption are at the manufacturing sites and also across the Company's fleet of trucks. Howden Joinery is also working to increase the number of energy efficient products which are supplied to customers.

Manufacturing

- In 2008 the Company's manufacturing sites were re-awarded the Carbon Trust's prestigious Energy Efficiency Accreditation, and the Company has now been accredited continuously for more than ten years.
- Both Runcorn and the warehouse site in Howden have been re-certified during the year in respect of the environmental standard, ISO14001. The Company is now in the process of extending this certification to the manufacturing site at Howden and the warehousing facilities in Northampton.

Truck fleet

In 2008 the Company reduced the number of trucks operated within the fleet. This reduction in the number of trucks operated was achieved through a traffic share arrangement. This arrangement improved the transport usage by removing inefficiencies and maximising use of backhaul capacity.

All trucks are as a minimum Euro3 compliant but, the Company has a commitment to improve this as part of its ongoing fleet management programme.

Products

In line with EC regulations, all kitchen appliances are rated and labelled in respect of energy efficiency.

Waste

Cardboard, plastic and timber waste from the manufacturing process are all segregated from general waste.
In 2008, more than 90% of waste produced in the Company's manufacturing operations was recycled. A new returnable 'eco-pallet' initiative has been introduced. All waste removal companies have been audited during the year to ensure compliance with legislation.

Committed to supporting the workforce to acquire and practise core skills

Employee responsibilities

The Company takes its responsibilities as an employer very seriously and aims to provide a positive work environment for all staff, whether working in factories, warehouses, depots or offices. The Company culture emphasises the importance of individual accountability, which means the personal responsibility towards everyone engaged in Company business. This culture is reinforced by commitment to certain core principles:

- Recognising by reward the hard work of all employees.
- Investing in training and development across the business.
- Ensuring that recruitment, career success and progression are solely determined by an employee's abilities and achievements.

Health & Safety

The managers and directors in the operating divisions are personally responsible and accountable for the health & safety of their employees. The Health & Safety requirements of these two divisions necessarily differ somewhat and as such, each of the operating division boards reviews its own strategy, issues and performance on a regular basis.

As it is policy to drive all elements of the business at a local level, depot managers are responsible for the health and safety of the staff working in their depots. To help them in this task, they participate in the Health & Safety

Management Training programme which provides training on a rolling three year basis for all depot managers. For those staff that are required to drive as part of their day to day roles, a defensive driving course is also in place.

In manufacturing, warehouse and distribution sites,ISO18001 certification at the Runcorn facility is in place and the Company continues to work to extend this certification across all other facilities.

Across the group, there were no improvement or prohibition notices served during the year by the HSE, nor were there any prosecutions by the Health & Safety Executive or the Environment Agency.

Committed to playing an active part in local communities

Each depot, manufacturing site and distribution centre fulfils an important role in the life of the area it serves, and all staff are encouraged to make a contribution to the local community.

This year, staff made around 1,300 donations to local good causes, which amounted to some £424,345 across the Company. As well as cash donations and employee fund raising initiatives, the Company donated joinery and kitchen equipment to local schools, village halls, care homes, local youth groups and sports clubs.

Leonard Cheshire Disability is a key community partner for Howden Joinery, and mindful of their reliance on volunteer support, the Company has continued to fund their volunteer recruitment and training programme, while staff continue to fundraise for Leonard Cheshire.

Working with Leonard Cheshire, the Company have continued to research into inclusive kitchens, aiming to offer the same range of product choice in the kitchen to all customers and potential customers, regardless of their ability.
The Company is proud of its association with Leonard Cheshire and will continue to work together to create lasting benefit for the communities in which we all live and work.

DIRECTORS

The directors of the Company who served throughout the period, except as noted were:

M Ingle
C Youell
M Robson
G Hughes (resigned 27 December 2008)
R Fenwick
D Hallett
A Witts

No director held any beneficial interest in the shares of the Company at any time during the period

EMPLOYEES

Details of the number of employees and related costs can be found in note 3 to the financial statements.

Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned. In the event of members of staff becoming disabled every effort is made to ensure that their employment with the company continues and that appropriate training is arranged. It is the policy of the Company that the training, career development, and promotion of disabled persons should, as far as possible, be identical with that of other employees.

The Company participates in the Group's policies and practices to keep employees informed on matters relevant to them as employees through regular meetings. Employee representatives are consulted regularly on a wide range of matters affecting their interests.

SUPPLIER PAYMENT POLICY

It is the Company's policy on payment of suppliers to agree terms of payment prior to commencing trade, and to abide by those terms on a timely submission of satisfactory invoices. The number of days purchases outstanding for payment by the Company at the year end was 21 days *(2007: 5 days)*.

POLITICAL AND CHARITABLE CONTRIBUTIONS

The Company made charitable donations during the period amounting to £424,345 *(2007:£370,000.)*. The company made no political donations during the current or previous period.

AUDITORS

Each of the persons who is a director at the date of approval of this annual report confirms that:

- so far as the directors are aware, there is no relevant audit information of which the company's auditors are unaware; and
- the directors have taken all the steps they ought to have taken as directors in order to make themselves aware of any relevant audit information and to establish that the company's auditors are aware of that information.

The confirmation is given and should be interpreted in accordance with the provisions of s234ZA of the Companies Act 1985.

On 1 December 2008 Deloitte & Touche LLP changed its name to Deloitte LLP. Pursuant to a shareholders' resolution passed during the year, the Company is not obliged to re-appoint its auditors annually and Deloitte LLP will therefore continue in office.

REGISTERED OFFICE

The company's registered office is International House, 66 Chiltern Street, London, W1U 4JT.

HOWDEN JOINERY LIMITED
DIRECTORS' REPORT (Cont'd)
STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). The financial statements are required by law to give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable accounting standards have been followed, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 1985. They are also responsible for the system of internal control, safeguarding the assets of the company and hence for taking responsible steps for the prevention and detection of fraud and other irregularities.

By Order of the Board

C Bishop
Secretary
27 April 2009

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF HOWDEN JOINERY LIMITED

We have audited the financial statements of Howden Joinery Limited for the 52 week period ended 27 December 2008 which comprise the Profit and Loss Account, the Balance Sheet, and the related notes 1 to 22. These financial statements have been prepared under the accounting policies set out therein.

This report is made solely to the company's members, as a body, in accordance with section 235 of the Companies Act 1985. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditors

The directors' responsibilities for preparing the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice) are set out in the Statement of Directors' Responsibilities.

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements and International Standards on Auditing (UK and Ireland).

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985. We also report to you whether in our opinion the information given in the Directors' Report is consistent with the financial statements.

In addition we report to you if, in our opinion, the company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and other transactions is not disclosed.

We read the Directors' Report and consider the implications for our report if we become aware of any apparent misstatements within it.

Basis of audit opinion

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements. It also includes an assessment of the significant estimates and judgments made by the directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the company's circumstances, consistently applied and adequately disclosed.

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error. In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements.

Opinion

In our opinion:

- the financial statements give a true and fair view, in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of the company's affairs as at 27 December 2008 and of its profit for the 52 week period then ended;
- the financial statements have been properly prepared in accordance with the Companies Act 1985; and
- the information given in the Directors' Report is consistent with the financial statements.

Deloitte LLP

Deloitte LLP
Chartered Accountants and Registered Auditors
London, United Kingdom

27 April 2009

HOWDEN JOINERY LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 27 DECEMBER 2008

	Notes	52 weeks to 27 Dec 2008			52 weeks to 29 Dec 2007		
		Before Exceptional items £000	**Exceptional items (note 5) £000**	**Total £000**	Before Exceptional items £000	Exceptional items (note 5) £000	Total £000
Turnover							
Continuing operations	1	**783,118**	-	**783,118**	768,783	-	768,783
Acquisitions		**13,175**	-	**13,175**	-	-	-
		796,293	-	**796,293**	768,783	-	768,783
Cost of sales							
Continuing operations	1	**(359,160)**	-	**(359,160)**	(356,936)	-	(356,936)
Acquisitions	21	**(11,285)**	-	**(11,285)**	-	-	-
Discontinued operations	5	-	**(1,065)**	**(1,065)**	-	-	-
		(370,445)	**(1,065)**	**(371,510)**	(356,936)	-	(356,936)
Gross profit		**425,848**	**(1,065)**	**424,783**	411,847	-	411,847
Selling and administrative costs							
Continuing operations	1	**(348,501)**	**1,899**	**(346,602)**	(289,460)	-	(289,460)
Acquisitions	21	**(2,747)**	-	**(2,747)**	-	-	-
Discontinued operations	5	-	**(900)**	**(900)**	-	-	-
		(351,248)	**999**	**(350,249)**	(289,460)	-	(289,460)
Operating profit/ (loss) (continuing operations)		**75,457**	**1,899**	**77,356**	122,387	-	122,387
Operating profit/ (loss) (acquisitions)		**(857)**	-	**(857)**	-	-	-
Operating profit/ (loss) (discontinued operations)		-	**(1,965)**	**(1,965)**	-	-	-
Operating profit/(loss)		**74,600**	**(66)**	**74,534**	122,387	-	122,387
(Loss) on disposal and impairment of fixed assets	5	-	**(900)**	**(900)**	-	(59)	(59)
Interest receivable		**116**	-	**116**	256	-	256
Profit on ordinary activities before taxation	2	**74,716**	**(966)**	**73,750**	122,643	(59)	122,584
Tax on profit on ordinary activities	6	**(24,709)**	-	**(24,709)**	(37,520)	-	(37,520)
Profit for the financial period		**50,007**	**(966)**	**49,041**	85,123	(59)	85,064
Amount transferred to/(from) reserves		**50,007**	**(966)**	**49,041**	85,123	(59)	85,064

The results for the 52 weeks ended 27 December 2008 and for the prior period include exceptional costs as disclosed in Note 5. There are no recognised gains or losses in the current and the previous period other than those included in the profit and loss account.

HOWDEN JOINERY LIMITED
BALANCE SHEET AT 27 DECEMBER 2008

	NOTES	27 Dec 2008 £000	27 Dec 2008 £000	29 Dec 2007 £000	29 Dec 2007 £000
Fixed assets					
Tangible assets	7	**59,611**		30,931	
Investments	8	**4,000**		748	
			63,611		31,679
Current assets					
Stocks	9	**118,344**		64,350	
Debtors	10	**694,895**		618,856	
Cash at bank and in hand		**10,055**		5,751	
		823,294		688,957	
Creditors: amounts due within one year	11	**(565,551)**		(453,590)	
Net current assets			**257,743**		235,367
Total assets less current liabilities			**321,354**		267,046
Creditors : amounts falling due after more than one year					
Finance lease creditor	11		**(867)**		-
Provisions for liabilities and charges	12		**(2,999)**		-
Net assets			**317,488**		267,046
Capital and reserves					
Called up share capital	14		**100,000**		100,000
Profit and loss account	15		**213,664**		164,623
Share-based payments reserve	15		**3,824**		2,423
Shareholders' funds	15		**317,488**		267,046

Approved by the Board of Directors on 27th April 2009

C Youell
Director

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current period and the preceding period.

BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom law and accounting standards. The financial statements have also been prepared on the going concern basis as discussed in the Directors' Report on page 2.

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Galiform Plc.

The financial statements include the results for the 52 week period ended 27 December 2008 (*2007: 52 weeks ended 29 December*).

The Company is exempt from the requirement to prepare Group financial statements under s228 of the Companies Act 1985 since its results are included in the consolidated financial statements of its ultimate parent company, Galiform Plc. Accordingly these accounts present information about the company as an individual undertaking and not its group.

TURNOVER

Turnover represents the net value of goods and services sold to customers excluding value added tax. All turnover arises in the United Kingdom.

TANGIBLE FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation and any provision for impairment. Depreciation is provided to write off the cost less any residual value of tangible fixed assets over their estimated useful lives as follows:

Equipment and machinery	4 – 10 years
Computer equipment, fixtures and fittings, plant and equipment	3 – 10 years

STOCKS

Stocks are valued at the lower of cost and net realisable value. Cost includes materials, direct labour and an attributable proportion of manufacturing overheads based on normal levels of activity. Net realisable value is based on estimated selling price less further costs expected to be incurred to completion and disposal. Provision is made for obsolete, slow moving stock or defective items where appropriate.

TAXATION

Current tax, including UK corporation tax and foreign tax, is provided at amounts expected to be paid (or recovered) using the tax rates and laws that have been enacted or substantively enacted by the balance sheet date.

Deferred tax is recognised in respect of all timing differences that have originated but not reversed at the balance sheet date where transactions or events that result in an obligation to pay more tax in the future or a right to pay less tax in the future have occurred at the balance sheet date. Timing differences are differences between the Group's taxable profits and its results as stated in the financial statements that arise from the inclusion of gains and losses in tax assessments in periods different from those in which they are recognised in the financial statements.

A net deferred tax asset is regarded as recoverable and therefore recognised only to the extent that, on the basis of all available evidence, it can be regarded as more likely than not that there will be suitable taxable profits from which the future reversal of the underlying timing differences can be deducted.

1. ACCOUNTING POLICIES (Cont'd)

Deferred tax is not recognised when fixed assets are revalued unless by the balance sheet date there is a binding agreement to sell the revalued assets and the gain or loss expected to arise on sale has been recognised in the financial statements. Neither is deferred tax recognised when fixed assets are sold and it is more likely than not that the taxable gain will be rolled over, being charged to tax only if and when the replacement assets are sold.

Deferred tax is recognised in respect of the retained earnings of overseas subsidiaries and associates only to the extent that, at the balance sheet date, dividends have been accrued as receivable or a binding agreement to distribute past earnings in future has been entered into by the subsidiary or associate.

Deferred tax is measured at the average tax rates that are expected to apply in the periods in which the timing differences are expected to reverse, based on tax rates and laws that have been enacted or substantively enacted by the balance sheet date. Deferred tax is measured on a non-discounted basis.

LEASED ASSETS

Leases are classified as finance leases when the terms of the lease transfer substantially all the risks and rewards of ownership to the Group. All other leases are classified as operating leases. For property leases, the land and building elements are treated separately to determine the appropriate lease classification.

Finance leases

Assets funded through finance leases are capitalised as property plant and equipment, and depreciated over their estimated useful lives or the lease term, whichever is shorter. The amount capitalised is the lower of the fair value of the asset or the present value of the minimum lease payments during the lease term at the inception of the lease. The resulting lease obligations are included in liabilities net of finance charges. Finance costs on finance leases are charged directly to the income statement.

Operating leases

Expenditure under operating leases is charged to the profit and loss account on a straight-line basis over the period of the lease.

FOREIGN CURRENCY TRANSACTIONS

Transactions in foreign currency are translated at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are translated at the exchange rate ruling at the date. Foreign exchange gains and losses are recognised in the profit and loss account.

INVESTMENTS

Investments are stated at cost less any provision for impairment.

PENSIONS

i) Defined benefit pension schemes:

The Company participates in its parent company's (Galiform Plc) group retirement benefit scheme. This is a defined benefit arrangement, operating through a multi-employer defined-benefit scheme. The assets and liabilities of the scheme are held separately from those of the Galiform Group. The company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it was a defined contribution scheme. This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes.

ii) Defined contribution pension schemes:

The Galiform Group operates a defined contribution scheme for its employees. For defined contribution schemes, the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year. Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet.

1. ACCOUNTING POLICIES (Cont'd)

SHARE-BASED PAYMENTS

The Company has adopted FRS 20: "Share-based payment". In accordance with the transitional provisions, FRS 20 has been applied to all grants of equity instruments after 7 November 2002 that were unvested as of 25 December 2005.

The Company issues equity-settled share-based payments to certain employees, based on the shares of its ultimate parent company Galiform Plc. Equity-settled share-based payments are measured at fair value at the date of grant. The fair value determined at the grant date of the equity-settled share based payments is expensed on a straight-line basis over the vesting period, based on the Group's estimate of shares that will eventually vest.

Fair value is measured by use of a binomial model. The expected life used in the model has been adjusted, based on management's best estimate, for the effects of non-transferability, exercise restrictions, and behavioural considerations.

2. PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

The profit on ordinary activities before taxation is stated after charging:

	27 Dec 2008	29 Dec 2007
	£000	£000
Depreciation	**11,289**	5,631
Hire of plant and machinery – rentals	**13,243**	6,467
Rent payable on property	**39,429**	23,207
Loss on disposal of fixed assets	**152**	59
Foreign exchange loss / (gain)	**10,383**	(528)
Fees payable to the Company's auditors for the audit of the Company's annual accounts	**130**	80

The auditors' remuneration is £130,000 for audit services and £66,000 for tax services. *(2007: £80,000 for audit services and £40,000 for tax services)*

3. STAFF NUMBERS AND COSTS (INCLUDING DIRECTORS)

The average number of persons (full-time equivalent) who worked for the Company during the period including those who were employed by Group People Services Limited, was as follows:

	27 Dec 2008	29 Dec 2007
	No.	No.
Manufacturing and distribution	**1,103**	-
Depots	**3,994**	4,311
Head office	**513**	346
	5,610	4,657

The aggregate payroll costs of these persons were as follows:

	27 Dec 2008	29 Dec 2007
	£000	£000
Wages and salaries	**148,691**	99,922
Social security costs	**14,452**	9,808
Other pension costs	**20,150**	8,109
Share-based payment costs (note 22)	**1,401**	1,317
	184,694	119,155

4. REMUNERATION OF DIRECTORS

The emoluments of the directors were as follows:

	27 Dec 2008 £000	29 Dec 2007 £000
Directors' emoluments	678	772
Pension costs	32	131
	710	903

The aggregate emoluments of the highest paid director in the 52 weeks to 27 December 2008 were £361,867 *(2007:£209,196)* and Company pension contributions of £16,412 *(2007: £15,400)* were made on his behalf. Based on normal retirement age the accrued pension of the highest paid director, should he leave employment at the end of the financial year, is £114,300 *(2007: £107,300)*.

5. EXCEPTIONAL ITEMS

	Cost of sales £000	Selling and Administ-rative costs £000	Loss on disposal of fixed assets £000	27 Dec 2008 Total £000	29 Dec 2007 Total £000
Product warranty liabilities	(2,065)	-	-	(2,065)	-
Release of exceptional stock provision	1,000	-	-	1,000	-
Release of provision for future rent payable on vacated sites	-	1,468	-	1,468	-
Disposal of fixed assets	-	-	(152)	(152)	(59)
Impairment of investment in Houdan Menuiserie			(748)	(748)	
Release of excess provision for redundancy	-	(900)	-	(900)	-
Release of 2007 restructuring provision	-	431	-	431	-
Total exceptional costs before tax	(1,065)	999	(900)	(966)	(59)
Tax credit / (charge) on exceptional	304	(285)	256	275	18
Total exceptional costs after tax	(761)	714	(644)	(691)	(41)

6. TAX ON PROFIT ON ORDINARY ACTIVITIES

	27 Dec 2008 £000	29 Dec 2007 £000
UK corporation tax – Current year	19,862	36,988
- Adjustment in respect of prior periods	2,975	-
Total current tax	22,837	36,988
Deferred taxation - Current year	3,108	1,057
- Adjustment in respect of prior periods	(1,236)	(651)
Change of tax rate	-	126
Tax on profit on ordinary activities	24,709	37,520

There is no unprovided deferred tax in the current or prior period. On 26 June 2007 the House of Commons approved the Finance Bill which reduces the UK standard rate of Corporation tax from 30% to 28% with effect from 1 April 2008. The deferred tax asset has been recognised at 28%.

Factors affecting current period corporation tax

	27 Dec 2008	29 Dec 2007
The taxation charge, as a percentage of profit on ordinary activities before exceptional items, is calculated at	33.2%	30.6%

6. TAX ON PROFIT ON ORDINARY ACTIVITIES (cont'd)

The current period corporation tax charge is higher *(2007: higher)* than the standard rate of corporation tax in the UK (28.5%) for the following reasons:

	27 Dec 2008 £000	29 Dec 2007 £000
Profit on ordinary activities before taxation for the period	**73,750**	122,584
Profit on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 28.5% *(2007: 30%)*	**21,019**	36,775
Effects of:		
Expenditure not deductible for tax purposes	**388**	232
Depreciation in excess of capital allowances	**(1,818)**	(92)
Movement on short term timing differences	**(393)**	55
Loss on disposals of fixed assets	**59**	18
Impairment of investment	**214**	-
Tax deductions on share option exercises	**(7)**	-
Amortisation of shares	**399**	
Current period corporation tax charge	**19,862**	36,988

7. TANGIBLE FIXED ASSETS

	Plant and machinery	Fixtures and fittings	Computer equipment	Assets under construction	Total
Cost	£000	£000	£000	£000	£000
At 29 December 2007	1,406	52,697	8,328	-	62,431
Acquisitions	22,463	1,019	509	1,624	25,614
Additions	1,368	3,010	6,728	3,733	14,840
Transfers between asset categories	1,310	30	133	(1,473)	-
Disposals	(3,124)	(551)	(25)	-	(3,700)
At 27 December 2008	**23,423**	**56,205**	**15,673**	**3,884**	**99,185**
Depreciation					
At 29 December 2007	(1,294)	(24,559)	(5,647)	-	(31,500)
Charge for the period	(4,074)	(5,335)	(1,880)	-	(11,289)
Disposals	2,816	379	20	-	3,215
At 27 December 2008	**(2,552)**	**(29,515)**	**(7,507)**	**-**	**(39,574)**
Net book value					
At 29 December 2007	111	28,138	2,682	-	30,931
At 27 December 2008	**20,871**	**26,690**	**8,166**	**3,884**	**59,611**

Analysis of assets held under finance leases	**27 December 2008**		29 December 2007	
	Plant, machinery & vehicles £000	**Assets under construction £000**	Plant, machinery & vehicles £000	Capital WIP £000
Cost	**1,106**	-	-	-
Accumulated depreciation	**-**	-	-	-
Net book value	**1,106**	-	-	-

8. INVESTMENTS

Cost	Shares in group companies £'000	Other unlisted investment £'000	TOTAL £'000
At 29 December 2007	748	-	748
Impairment	(748)	-	(748)
Additions in period	-	8,000	8,000
Disposals in period	-	(4,000)	(4,000)
At 27 December 2008	**-**	**4,000**	**4,000**
Net Book Value			
At 29 December 2007	748	-	748
At 27 December 2008	**-**	**4,000**	**4,000**

Share in group companies

The principal subsidiaries at 27 December 2008 are listed below. All subsidiaries are wholly owned and are incorporated in Great Britain, and registered in England and Wales, with the exception of Houdan Menuiserie, which is incorporated and registered in France. In the opinion of the directors, the total value of shares in these companies is not less than the amount at which they are included in the balance sheet.

Subsidiary	Principal activity
Howden Joinery Properties Limited	Property management
Houdan Menuiserie	Trade kitchen furniture and joinery
Howden Kitchens Properties Limited	Property management

Other unlisted investment

The investment is an unlisted investment, which was acquired together with the trade and net liabilities of Howden Kitchens Limited (see note 21 for details of the acquisition). In the opinion of the directors its fair value is materially equal to its carrying value. The disposal in the period was for proceeds equal to the carrying value of the disposed investment. There was no profit or loss on disposal.

9. STOCKS

	27 Dec 2008 £000	29 Dec 2007 £000
Raw materials	**1,287**	-
Work in progress	**1,858**	-
Finished goods for resale	**115,199**	64,350
	118,344	64,350

There is no material difference between the balance sheet value of stocks and their replacement costs.

10. DEBTORS

	27 Dec 2008 £000	29 Dec 2007 £000
Amounts falling due within one year:		
Trade debtors	**74,942**	85,388
Other debtors	**971**	-
Amounts owed by fellow subsidiary undertakings	**604,071**	527,429
Prepayments and accrued income	**8,273**	4,145
Deferred taxation (see note 13)	**6,638**	1,894
	694,895	618,856

11. CREDITORS

	27 Dec 2008 £000	29 Dec 2007 £000
Amounts falling due within one year:		
Trade creditors	**53,269**	5,097
Corporation tax	**22,837**	72,491
Other taxes and social security	**23,787**	40,427
Current portion of amounts due under finance leases	**429**	-
Accruals and deferred income	**22,449**	15,345
Amounts owed to parent and fellow subsidiary undertakings	**442,780**	320,230
	565,551	**453,590**

Amounts falling due after more than one year:	27 Dec 2008 £000	29 Dec 2007 £000
Non – current portion of amounts due under finance leases	**867**	-
	867	-

12. PROVISIONS

	Warranty £000
At 29 December 2007	-
Provision created in the period	5,626
Utilised in year	(2,627)
At 27 December 2008	**2,999**

Provisions for warranties relate to appliance products sold and cover a period of one year.

13. DEFERRED TAXATION

	£000
At 29 December 2007	1,894
Acquired from Howden Kitchens	6,743
Charged during the period	(3,108)
Adjustments in respect of prior periods	1,109
At 27 December 2008	**6,638**

The deferred taxation asset included in debtors is analysed as follows:

	27 Dec 2008 £000	29 Dec 2007 £000
Accelerated capital allowances	**5,894**	(99)
Other timing differences	**744**	1,993
	6,638	1,894

14. SHARE CAPITAL

	27 Dec 2008 £000	29 Dec 2007 £000
100,000,000 authorised ordinary shares of £1.00 each	**100,000**	100,000
100,000,000 allotted, called up, issued fully paid ordinary shares of £1.00 each	**100,000**	100,000

15. RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' FUNDS

	Share Capital	Profit and Loss Reserve	Share-based payments reserve	Shareholders' Funds
	£'000	£'000	£'000	£'000
At 30 December 2006	100,000	79,558	1,106	180,664
Profit for the period 2007	-	85,065	-	85,065
Share based payments	-	-	1,317	1,317
At 29 December 2007	100,000	164,623	2,423	267,046
Profit for the period 2008	-	49,041	-	49,041
Share based payments	-	-	1,401	1,401
At 27 December 2008	**100,000**	**213,664**	**3,824**	**317,488**

16. CONTINGENT LIABILITIES

Members of the Group have assigned UK property leases in the normal course of business. Should the assignees fail to fulfil any obligations in respect of these leases, members of the Group will be liable for those defaults. The number of claims arising to date has been small and the cost, which is charged to income as it arises, has not been material.

There is a Group VAT registration cross-guarantee under which if one Group company fails to pay its VAT then the other Group companies are jointly and severally liable. The amount outstanding on this guarantee at the period end is £10.7m (*2007: £11.3m*).

The Company, together with other Group companies, has guaranteed the Group's obligations under the Group bank facility.

17. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's immediate parent company is Galiform Holdings Ltd and the ultimate parent company and controlling entity is Galiform Plc, formerly MFI Furniture Group Plc, both incorporated in Great Britain and registered in England and Wales.

The largest and smallest group in which the results of the Company are consolidated is that headed by Galiform Plc. The consolidated accounts of this group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ.

The Company is exempt under FRS 8 from the requirement to disclose transactions with the group headed by Galiform Plc on the grounds that it is a wholly owned subsidiary.

18. PENSIONS

i) Defined contribution pensions

The Galiform Group operates a defined contribution scheme for its employees. The Company's pension charge for the current year for defined contribution pension schemes was £743,346 (*2007: £242,765*). There were no outstanding contributions at the period end.

ii) Defined benefit pensions

The Company participates in the Galiform Plc Group retirement benefit plan. This is a defined benefit multi-employer arrangement, which operates through s funded pension schemes which provides benefits based on the final pensionable pay of participating employees. The assets of the scheme are held separately from those of the Group, being invested with independent fund managers. The Company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it was a defined contribution scheme. This is the prescribed treatment in FRS 17 "Retirement Benefits"

Further information about the Galiform plc defined-contribution retirement benefit schemes is available in the Galiform Plc statutory accounts. The latest actuarial valuation of the Group defined contribution schemes was carried out at 6 April 2008 by the scheme actuary. This was subsequently rolled forward to 27 December 2008 by the actuary advising the Group, and restated on a basis consistent with market conditions at that date. This exercise showed a scheme deficit at 27 December 2008 of £122.2m (2007: £83.5m), before netting off the associated deferred tax asset. The roll-forward was done according to the requirements of International Accounting Standard 19: "Employee Benefits" ("IAS 19", under which the Galiform Group reports its results), rather than FRS 17 (under which this Company reports its results). However, management have no reason to believe that there would be any significant difference between a valuation under FRS17 and one under IAS 19. Further details are given in the consolidated financial statements of Galiform Plc.

The Company's defined benefit pension charge for the year was £10,256,143 (2007: £7,865,857). There were no outstanding Company contributions at the period end.

The Group adopted IFRS with effect from 26 December 2004, and therefore the Group consolidated financial statements disclose pension charges, assets, and liabilities in line with IAS 19 "Employee Benefits". The Group does not believe that there are any material differences between the net pension deficit and the pension charge under IAS 19, compared to under FRS17. It may therefore be useful to users of these accounts to consult the full IAS 19 disclosures given in the consolidated financial statements of Galiform Plc.

There were no pension costs unpaid but provided for at 27 December 2008 *(2007: £Nil)*.

19. FINANCIAL COMMITMENTS

At 27 December 2008, the annual commitments under non-cancellable operating leases were set out as below:

Plant and machinery operating leases which expire:	27 Dec 2008 £000	29 Dec 2007 £000
Within one year	898	430
Between two and five years	6,496	4,094
Over five years	740	447
	8,134	4,971

20. FINANCE LEASES

The finance lease obligations are repayable as follows:	27 Dec 2008 £000	29 Dec 2007 £000
Current liabilities:		
Within one year	429	-
Non-current liabilities:		
In the second year	478	-
In the third to fifth years inclusive	390	-
Total finance lease obligations	1,297	-

All finance lease obligations are in sterling. Each lease contract is at a fixed rate. The weighted average of the fixed rates on the various contracts is 5% at the current year end *(2007 : nil)* The finance lease obligations are unsecured. The average remaining lease term is 2 years and 10 months (2007 : nil).

Reconciliation of total future minimum lease payments to their present value

	Minimum lease payments		Present value of minimum lease payments	
	27 December 2008 £000	29 December 2007 £000	27 December 2008 £000	29 December 2007 £000
Amounts payable under finance leases:				
Within one year	516	-	429	-
In the second year	527	-	478	-
In the third to fifth years inclusive	401	-	390	-
	1,444	-	1,297	-
Less: future finance charges	(147)	-		
Present value of lease obligations	1,297	-		
Disclosed as:				
Current	429	-		
Non-current	868	-		
	1,297			

21. ACQUISITIONS

On 30 December 2007, the first day of the current accounting period, the Company bought the trade and net liabilities of Howden Kitchens Limited a company registered in Engaland and Wales. Howden Kitchens Limited is and was a fellow subsidiary of the Galiform plc group. This transaction has been accounted for as an acquisition.

The business formerly carried out by Howdens Kitchens Limited is now carried out by Howden Joinery Limited.

The details of the acquisition are as follows:

	Book values and fair values of the net assets acquired
	£'000
Fixed assets	25,614
Investments	8,000
Stocks	37,913
Debtors	207,146
Cash at bank and in hand	16,555
Creditors	(308,697)
Totals	(13,649)
Provisional goodwill acquired	-
Total consideration	(13,649)
Total consideration satisfied by:	
Cash paid	-
Intercompany indebtedness	(13,649)
Directly attributable costs	-
Total consideration	(13,649)
Net cashflow arising on acquisition:	
Cash consideration	-
Cash and cash equivalents acquired	16,555
Net cash outflow arising on acquisition	-
Total cash inflow arising	16,555

22. SHARE BASED PAYMENTS

1) Charge for the period and details of each scheme

The Company recognised a charge of £1.4m (*2007: charge of £1.3m*) in respect of share-based payments during the period. This charge is included as part of Staff Costs. The Company has various share-based payment schemes, which are all equity-settled. The main details of all schemes which existed during the period are given below.

As explained in the acquisition note, the Company bought the net assets of Howden Kitchen Limited on the first day of the accounting year and hence took on the responsibility for making share based payments to related staff. On each of the schemes outlined in the tables below, there is a value which represents the closing balance in 2007 for Howden Kitchens Limited.

Galiform PLC, the ultimate holding company, has various share-based payment schemes, which are all equity-settled and which are offered from time to time to Galiform Group employees. The main details of all schemes which existed during the period are given below.

All schemes relate to shares in Galiform PLC. All references in paragraphs (1) (a) to (f), and paragraph (3) below to "the Company", share price, EPS, Total Shareholder Return ("TSR"), market price, dividend yield, and volatility refer to Galiform PLC, and its 10p ordinary shares.

22. SHARE-BASED PAYMENTS (continued)

a) Performance Share Plan

This is a discretionary free share plan. Participants have a contingent right to receive free shares with performance conditions attached, based on the company's EPS.

The performance period is measured from the start of the financial period in which the awards are granted. The performance period is three years. Vesting occurs at the end of the performance period.
i) no other condition other than continued employment
ii) 50% of the Options shall be exercisable if the compound annual growth in the Group's Operating Profit over the performance period is at least 10% rising to 100% if compound annual growth over the same period is at least 20%.
iii) 25% of the award will vest if 2010 PBT of £110 million is achieved. 100% will vest if 2010 PBT of £135 million is achieved. The awards will vest on a sliding scale between these two points.

b) Senior Management Co-investment Plan

This is a co-investment plan whereby employees can defer their cash bonus into shares ("commitment shares") or pay cash to the company to buy shares at market value ("top up shares"). The employee receives dividends on these shares.

The plan awards a number of matching shares, equal to 1.5 times the number of commitment and top-up shares. Participants are not entitled to dividends on the matching shares. This plan vests three years from the date of grant.

There are two subdivisions. The first vests at 40% if there is an EPS growth of RPI plus 10% over the performance period, and at 100% if there is an EPS growth of RPI plus 20% over the performance period. The second vests at 50% if if there is an EPS growth of RPI plus 80% over the performance period, and at 100% if there is an EPS growth of RPI plus 100% over the performance period. Both awards vest on a straight-line basis between these maximum and minimum points.
EPS growth performance is measured from the start of the financial year in which the awards were granted. The performance period is three years.

c) 2007 Executive Co-investment Plan

This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan.

At the end of a three year performance period, each invested share will be matched by an award of up to three matching shares if 2010 PBT of £135m is achieved; 25 percent of the maximum match (i.e. 0.75:1) will be earned for achieving 2010 PBT of £110 million and the awards will vest on a sliding scale between these two points. A further match of up to two shares will be made for achieving upper quartile Total Shareholder Return (TSR), measured against the FTSE 250 Index (excluding investment trusts).

d) Foundation Plan

This plan awards nil-cost options, and also options with an exercise price equal to the market price at the date of grant.

2006 Awards
These vested on the last day of the 2005/06 financial year, as the performance conditions were met. There is a further deferral period of two years before the awards are made available to the participants.

Vesting of awards granted in the form of nil-cost options depended on the achievement of a share price hurdle over thirty consecutive dealing days. 15% of the award vests for the achievement of 95 pence and 100% of the award vests for the achievement of 125 pence. The award vests on a straight line basis between these two points.

Vesting of awards granted in the form of options with an exercise price equal to the market price at the date of grant vest depended on the achievement of a share price hurdle over thirty consecutive dealing

22. SHARE-BASED PAYMENTS (continued)

days. The exercise price of the options granted in 2006 was 92p. 35% of this award vests if the share price achieves 115 pence over thirty consecutive dealing days, and 100% of the award vests if the share price achieves 160 pence over thirty consecutive dealing days. The award vests on a straight line basis between these two points.

2007 Awards
These awards were granted in the form of nil cost options and vested on the last day of the 2006/7 financial year to the degree that the performance conditions had been met. There is a further deferral period of two years before the vested awards are made available to the participants.

Vesting was dependant upon the achievement of a share price hurdle over thirty consecutive dealing days and an underlying profit target of £65m for the year being met. 20% of the award vests if the share price achieves 150 pence over thirty consecutive dealing days and 100% of the award vests if the share price achieves 185 pence over thirty consecutive dealing days. The award vests on a straight line basis between these two points.

e) Executive Share Options
This is a discretionary share option plan. These options are granted with an exercise price equal to market value.

The vesting period is three years from the date of grant with an exercise period of seven years (i.e. a total life of ten years). In the information below, these options have been further subdivided according to their different via performance conditions, in order to give more meaningful information. The different subdivisions and performance conditions are as follows:

i. 20% of the Options will vest if the Company's Total Shareholder Return ("TSR") over the Performance Period is at the median level against the FTSE-250 constituents (the "Comparator Group") rising on a straight line basis to 50% of the Options vesting for upper quartile performance; and in addition
ii. 40% vesting if EPS growth equals RPI+40%, rising to 100% vesting for EPS growth of RPI+100%
iii. 50% vesting if there is EPS growth of 60% over the performance period, and 100% vesting if there is EPS growth of 120% over the performance period
iv. No other condition except for continued employment with the Group
v. EPS growth must equal RPI + 9%. If this is achieved there will be full vesting. If this is not achieved there will be no vesting.
vi. 20% of the options will vest if the share price over 30 consecutive dealing days is 185p rising on a straight line basis to 100% vesting if the share price over 30 consecutive days reaches 265p. Underpinning this is a requirement to achieve 20% annual compound growth over the performance period.

f) Share Incentive Scheme (Freeshares)
This is an 'all-employee' share incentive plan whereby participants receive a grant of free shares in the Company. If the employees are still employed by the Group three years after the grant, then the shares vest. Dividends are paid out on the shares between award date and vesting date. There are no other performance conditions attached to these awards.

g) SAYE (Sharesave)
This is a save as you earn scheme for all employees whereby participants receive an option to purchase shares at a later date at a price equal to the market price at grant date. The term of these schemes is five years.

22. SHARE-BASED PAYMENTS (continued)

3) Movements in the period

The following tables show the number and weighted average exercise prices ("WAEP") of each category of share options during the period, and the movements in each category. The significance of options granted before 7 November 2002 is that they have been excluded from the IFRS2 share-based payment charge on the basis of their date of grant, as allowed on adoption of IFRS and as further explained in note 33.

a) Performance Share Plan
(i) 40% of the award vests if Total Shareholder Return ("TSR") is at median level compared to the Comparator Group over the performance period, subject to a condition that EPS must also grow by at least 9%. 100% of the award vests if TSR is at upper quartile level and the EPS growth condition is also satisfied. The award vests on a straight-line basis between these maximum and minimum points

	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	53 weeks to 29 December 2007 Number	53 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	-	0.00	-	N/A
Transferred on acquisition	150,781	0.00	-	N/A
Granted in period	-	N/A	-	N/A
Lapsed in period	(150,781)	0.00	-	N/A
Exercised in period	-	N/A	-	N/A
In issue at end of period	0	N/A	0	N/A
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.00	
Weighted average fair value of options granted during the period (£)	N/A		0.00	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.00		0.00	
- to	0.00		0.00	

22. SHARE-BASED PAYMENTS (continued)

a) Performance Share Plan *ii) no other condition other than continued employment*	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	53 weeks to 29 December 2007 Number	53 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	219,000	0.00	-	N/A
Transferred on acquisition	64,500	0.00	-	N/A
Granted in period	-	N/A	230,000	0.00
Lapsed in period	(11,500)	0.00	(11,000)	0.00
Exercised in period	(11,000)	0.00	-	N/A
In issue at end of period	261,000	0.00	219,000	N/A
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		0.53		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	1.42		2.42	
Weighted average fair value of options granted during the period (£)	N/A		0.53	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.00		0.00	
- to	0.00		0.00	

a) Performance Share Plan

iii) 50% of the Options shall be exercisable if the compound annual growth in the Group's Operating Profit over the performance period is at least 10% rising to 100% if compound annual growth over the same period is at least 20%.	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	53 weeks to 29 December 2007 Number	53 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	659,532	0.00	-	N/A
Transferred on acquisition	176,645	0.00	-	N/A
Granted in period	-	N/A	659,032	0.00
Lapsed in period	-	N/A	-	N/A
Exercised in period	(59,484)	0.00	-	N/A
In issue at end of period	776,693	0.00	659,032	0.00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		0.00		0.00
Weighted average contractual life remaining for share options outstanding at the period end (years)	1.42		2.42	
Weighted average fair value of options granted during the period (£)	N/A		1.51	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.00		0.00	
- to	0.00		0.00	

22. SHARE-BASED PAYMENTS (continued)

a) Performance Share Plan

iv) 25% of the award will vest if 2010 PBT of £110 million is achieved. 100% will vest if 2010 PBT of £135 million is achieved. The awards will vest on a sliding scale between these two points.	52 weeks to 27 December 2008	52 weeks to 27 December 2008	53 weeks to 29 December 2007	53 weeks to 29 December 2007
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	539,055	0.00	-	N/A
Transferred on acquisition	309,958	0.00	-	N/A
Granted in period	-	N/A	539,055	0.00
Lapsed in period	-	N/A	-	N/A
Exercised in period	(45,912)	0.00	-	N/A
In issue at end of period	803,101	0.00	539,055	0.00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		0.00		0.00
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.00		3.00	
Weighted average fair value of options granted during the period (£)	N/A		1.08	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.00		N/A	
- to	0.00		N/A	

b) Deferred Bonus Plan	52 weeks to 27 December 2008	52 weeks to 27 December 2008	53 weeks to 29 December 2007	53 weeks to 29 December 2007
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	-	0.00	-	N/A
Transferred on acquisition	-	0.00	-	N/A
Granted in period	424,779	0.00	-	N/A
Lapsed in period	-	N/A	-	N/A
Exercised in period	-	0.00	-	N/A
In issue at end of period	424,779	0.00	0	N/A
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period	N/A		N/A	
Weighted average contractual life remaining for share options outstanding at the period end (years)		2.01		0.00
Weighted average fair value of options granted during the period (£)	0.79		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.00		0.00	
- to	0.00		0.00	
Yr end date				
Date of match under the new DBP				

22. SHARE-BASED PAYMENTS (continued)

c) Senior Management Co-investment Plan	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	53 weeks to 29 December 2007 Number	53 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	41,584	0.00	111,412	0.00
Transferred on acquisition	26,153	0.00	-	0.00
Granted in period	-	N/A	-	N/A
Lapsed in period	(67,737)	0.00	(69,828)	0.00
Exercised in period	-	N/A	-	N/A
In issue at end of period	0	N/A	41,584	0.00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	N/A		N/A	
- to	N/A		N/A	

d) (i) (a) Executive Co-investment Plan: 2007 award, PBT target	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	53 weeks to 29 December 2007 Number	53 weeks to 29 December 2007 WAEP (£)
In issue at start of period	1,080,000	0.00	-	N/A
Transferred on acquisition	780,000	0.00	-	N/A
Granted in period	-	N/A	1,080,000	N/A
Lapsed in period	-	N/A	-	N/A
Exercised in period	-	N/A	-	N/A
In issue at end of period	1,860,000	0.00	1,080,000	N/A
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.00		3.00	
Weighted average fair value of options granted during the period (£)	0.00		1.08	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.00		0.00	
- to	0.00		0.00	

22. SHARE-BASED PAYMENTS (continued)

d) (ii) (a) Executive Co-investment Plan: 2007 award, TSR target	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	53 weeks to 29 December 2007 Number	53 weeks to 29 December 2007 WAEP (£)
In issue at start of period	720,000	0.00	-	0
Transferred on acquisition	520,000	0.00	-	N/A
Granted in period	-	N/A	720,000	N/A
Lapsed in period	-	N/A	-	N/A
Exercised in period	-	N/A	-	N/A
In issue at end of period	1,240,000		720,000	N/A
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		0.00		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.00		3.00	
Weighted average fair value of options granted during the period (£)	N/A		0.55	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.00		0.00	
- to	0.00		0.00	

e) Foundation Plan

i) 2006 award - Nil Cost Options	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	53 weeks to 29 December 2007 Number	53 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	540,000	0.00	540,000	0.00
Transferred on acquisition	900,000	0.00	-	N/A
Granted in period	-	N/A	-	N/A
Lapsed in period	-	N/A	-	N/A
Exercised in period	-	N/A	-	N/A
In issue at end of period	1,440,000	0.00	540,000	0.00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.00		0.00	
- to	0.00		0.00	

22. SHARE-BASED PAYMENTS (continued)

e) Foundation Plan

ii) 2006 award - Market-value Options	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	53 weeks to 29 December 2007 Number	53 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	716,420	0.92	1,380,000	N/A
Transferred on acquisition	1,194,033	0.92	-	N/A
Granted in period	-	N/A	-	N/A
Lapsed in period	-	N/A	(663,580)	0.92
Exercised in period	-	N/A	-	N/A
In issue at end of period	1,910,453	0.92	716,420	0.92
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.92		0.92	
- to	0.92		0.92	

e) Foundation Plan

iii) 2007 award - Nil Cost Options	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	53 weeks to 29 December 2007 Number	53 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	760,000	0	-	N/A
Transferred on acquisition	760,000	0	-	N/A
Granted in period	-	N/A	760,000	N/A
Lapsed in period	-	N/A	-	N/A
Exercised in period	-	N/A	-	N/A
In issue at end of period	1,520,000	0.00	760,000	N/A
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.00		0.00	
- to	0.00		0.00	

22. SHARE-BASED PAYMENTS (continued)

f) Executive Share Options

i) 40% vesting if EPS growth = RPI+40% rising to 100% vesting if EPS growth = RPI+100%	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	53 weeks to 29 December 2007 Number	53 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	126,170	1.07	252,340	1.07
Transferred on acquisition	276,951	1.07	-	N/A
Granted in period	-	N/A	-	N/A
Lapsed in period	(186,040)	1.07	(126,170)	1.07
Exercised in period	-	N/A	-	N/A
In issue at end of period	217,081	1.07	126,170	1.07
Exercisable at end of period	217,081	1.07	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.42	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	1.07		1.07	
- to	1.07		1.07	

f) Executive Share Options

ii) 50% vesting if EPS growth is 60% and 100% vesting if EPS is 120%	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	53 weeks to 29 December 2007 Number	53 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	117,871	1.27	252,340	
Transferred on acquisition	144,487	1.27	-	
Granted in period	-	N/A	-	
Lapsed in period	-	N/A	(134,469)	
Exercised in period	-	N/A	-	
In issue at end of period	262,358	1.27	117,871	
Exercisable at end of period	262,358	1.27	117,871	0.00
Number of options in the closing balance that were granted before 7 November 2002	262,358	1.27	117,871	0.00
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)		0.00		0.00
Weighted average fair value of options granted during the period (£)		N/A		N/A
Range of exercise prices for options outstanding at the period end (£):				
- from		1.03		1.03
- to		1.32		1.32

22. SHARE-BASED PAYMENTS (continued)

f) Executive Share Options

iii) No other performance conditions except continued employment	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	53 weeks to 29 December 2007 Number	53 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	143,900	0.42	252,340	1.11
Transferred on acquisition	128,000	0.42	-	N/A
Granted in period	-	N/A	-	N/A
Lapsed in period	(49,900)	N/A	(134,469)	1.20
Exercised in period	(84,500)	0.42	-	N/A
In issue at end of period	137,500	0.42	117,871	1.27
Exercisable at end of period	137500	0.42	117,871	1.27
Number of options in the closing balance that were granted before 7 November 2002	59,400		118	
Weighted average share price for options exercised during the period		0.91		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.42		0.42	
- to	0.42		0.42	

f) Executive Share Options

iv) Full vesting if EPS increases by RPI + 9%	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	53 weeks to 29 December 2007 Number	53 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	1,473,642	0.21	1,790,535	1.08
Transferred on acquisition	1,060,736	1.03	-	N/A
Granted in period	-		-	N/A
Lapsed in period	(528,248)	1.05	(112,181)	1.11
Exercised in period	(47,619)	0.91	(204,712)	1.04
In issue at end of period	1,958,510	1.04	1,473,642	0.21
Exercisable at end of period	1,958,510	1.04	1,473,642	0.21
Number of options in the closing balance that were granted before 7 November 2002	994,317		1,473,642	
Weighted average share price for options exercised during the period		0.63		1.04
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.00	
Weighted average fair value of options granted during the period (£)	0.00		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	62.75		0.63	
- to	1.39		1.39	

22. SHARE-BASED PAYMENTS (continued)

f) Executive Share Options

v) 20% of the options will vest if the share price over 30 consecutive dealing days is 185p rising on a straight line basis to 100% vesting if the share price over 30 consecutive days reaches 265p. Underpinning this is a requirement to achieve 20% annual compound growth over the performance period.

	52 weeks to 27 December 2008	52 weeks to 27 December 2008	53 weeks to 29 December 2007	53 weeks to 29 December 2007
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	1,249,212	1.59	1,249,212	1.59
Transferred on acquisition	1,053,628	1.59	-	N/A
Granted in period	-	N/A	-	N/A
Lapsed in period	(329,338)	1.59	-	N/A
Exercised in period	-	N/A	-	N/A
In issue at end of period	1,973,502	1.59	1,249,212	1.59
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	1.42		2.42	
Weighted average fair value of options granted during the period (£)	N/A		0.43	
Range of exercise prices for options outstanding at the period end (£):				
- from	1.59		1.59	
- to	1.59		1.59	

g) Share incentive scheme (Freeshares)	52 weeks to 27 December 2008	52 weeks to 27 December 2008	53 weeks to 29 December 2007	53 weeks to 29 December 2007
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	592,501	0.00	612,262	0.00
Transferred on acquisition	231,702	0.00	-	N/A
Granted in period	-	N/A	-	N/A
Lapsed in period	(314,404)	0.00	(2,227)	0.00
Exercised in period	101,016	0.00	(17,534)	0.00
In issue at end of period	610,815	0.00	592,501	0.00
Exercisable at end of period	610,815	0.00	592,501	0.00
Number of options in the closing balance that were granted before 7 November 2002	610,815		592,501	
Weighted average share price for options exercised during the period		0.53		0.92
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.00		0.00	
- to	0.00		0.00	

22. SHARE-BASED PAYMENTS (continued)

h) SAYE (Sharesave)	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	53 weeks to 29 December 2007 Number	53 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	411,521	1.84	500,547	1.84
Transferred on acquisition	150,361	1.84	-	N/A
Granted in period	-	N/A	-	N/A
Lapsed in period	-	N/A	(89,026)	1.84
Exercised in period	-	N/A	-	N/A
In issue at end of period	561,883	1.84	411,521	1.84
Exercisable at end of period	561,883	1.84	411,521	1.84
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		1.01	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	1.84		1.84	
- to	1.84		1.84	

4) Fair value of options granted

The fair value of all options granted except Sharesave is estimated on the date of grant using a binomial option valuation model. Sharesave schemes are valued using a Black Scholes model as they are not considered to be of such complexity that they require a binomial model.

The key assumptions used in the models were:

	52 weeks to 27 December 2008	52 weeks to 29 December 2007
Dividend yield (%)	**0.71**	2.0
Expected share price volatility (%)	**46**	36.0 to 39.0
Historical volatility (%)	**46**	36.0 to 39.0
Risk-free interest rate (%)	**4.47**	5.0 to 5.8
Expected life of options (years)	**2.57**	2.5 to 3.2

Historical volatility is measured for each scheme over the period equal to the vesting period of the scheme. The figure arrived at is then used as the best estimate of expected future volatility.